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IT IS HARD to pin down Kishore Chhabria for a conversation, and when the opportunity comes, you seize it. Sitting in his home in Malabar Hill, a part of tony south Mumbai, the 71-year-old sips tea gently. The packaged water bottles on the table stand in stark contrast to the corner of the room, where there are neatly arranged bottles of liquor.

All the brands belong to Chhabria's company, Allied Blenders and Distillers (ABD), including Officer's Choice, Sterling Reserve, Iconiq whisky and Zoya gin, among others.

Chhabria is curious about our tastes and shifts the conversation from the present to the past, without venturing to predict what lies ahead. For over four decades, Chhabria has seen the Indian spirits industry grow despite unpredictable regulations and through his own corporate battles. Be it with brother, Manu Chhabria, or the later run-in with one-time liquor baron, Vijay Mallya, for control over BDA, a company they set up together, this feisty man has lived to tell a long tale.

In July 2024, ABD went public, and the issue was subscribed 23 times. Currently, it has a market capitalisation of ₹14,000 crore and is the third-largest player in the Indian-made foreign liquor (IMFL) market.

For Chhabria, a major achievement during this successful period has been allowing his core team to run the organisation. "You need to create an institution where people are allowed to make decisions. I intended to professionalise the company and empower the team," he says.

That process started in 2007-08. In 2019, when capital was needed, Chhabria decided to sell a part of his holding. "I wanted to create wealth for the family, but did not get the desired valuation. Going public then became logical, and not selling out turned out to be a good decision."

With ABD's multi-pronged strategy—premiumisation, backward integration and investing in brands—he is hungry for more. "Innovation excites me," he says calmly. By the looks of it, he is backing that view in more ways than one.

THE CORE STRATEGY

Alok Gupta, ABD's Managing Director, says his team follows the principle of $E = mc^2$, but with a difference. Here, "e" stands for enterprise value, achieved through margin enhancement (m) and the two Cs, capital discipline and consumer centricity.

In late October 2024, ABD acquired Minakshi Agro Industries for ₹72 crore. Not a big amount by any stretch, but it brought home a distillery in Aurangabad that manufactured grain spirit. With an installed capacity of 11 million litres per annum (mlpa) and land for expansion, it was strategically critical. Soon, ABD announced a capex outlay of ₹525 crore that included ₹260 crore to achieve 100% captive ENA (extra neutral alcohol, the base ingredient for alcoholic beverages) at Minakshi's plant and that it

THE GROWTH STORY



◀ In July 2024, ABD went public, and the issue was subscribed 23 times



◀ Officer's Choice in the mass premium segment delivers gross margins upwards of 45%

